

SS1 Commercial Track: Commerce Diagnostic (Part 1)

Scope: Foundations of Trade & Retail Chain
Questions 1 - 20

No.	Question & Options	Ans	Diagnostic Focus
1	Commerce is basically divided into: A) Trading and Accounting B) Trade and Aids to Trade C) Buying and Selling D) Import and Export	B	Foundational Scope.
2	Which of the following is an "Aid to Trade"? A) Retailing B) Wholesaling C) Insurance D) Manufacturing	C	Categorization of Commercial Activities.
3	The direct exchange of goods for other goods without the use of money is: A) E-commerce B) Barter Trade C) Wholesale Trade D) Retail Trade	B	Evolution of Trade.
4	A major "difficulty" of barter trade was: A) High cost of goods B) Lack of double coincidence of wants C) Too much money in circulation D) Government interference	B	Economic History/Logic.
5	Home trade consists of: A) Import and Export B) Retail and Wholesale C) Entrepôt and Export D) Banking and Insurance	B	Internal Trade Classification.
6	The person who buys in small quantities and sells to final consumers is a: A) Wholesaler B) Retailer C) Broker D) Factor	B	Distribution Chain roles.
7	A wholesaler provides "Breaking the Bulk" services to: A) Producers B) Retailers C) Consumers D) Importers	B	Wholesale functions.
8	Which of the following is a characteristic of small-scale retail trade? A) High capital B) Fixed prices only C) Personal contact with customers D) Selling in large crates	C	Retail formats.
9	Branding, packaging, and advertising are part of: A) Production B) Marketing C) Consumption D) Accounting	B	Business Operations.
10	Mail Order business is a form of retailing where: A) Goods are sold only in planes B) Products are ordered via catalog/post C) Customers visit the factory D) Prices are always bargained	B	Modern Retail methods.
11	The document sent by a seller to a buyer when goods are sold on credit is: A) Receipt B) Invoice C) Credit Note D) Pro-forma Invoice	B	Commercial Documents.
12	A "Pro-forma Invoice" is used to: A) Confirm payment B) Correct an overcharge C) Act as an estimate or for quotation D) Return faulty goods	C	Technical Documentation.

No.	Question & Options	Ans	Diagnostic Focus
13	Trade discount is a deduction from the: A) Net price B) Catalogue/List price C) Tax D) Delivery cost	B	Pricing Logic.
14	An "Entrepôt" trade involves: A) Selling to neighboring villages B) Importing goods to re-export them C) Trading only in petroleum D) Government-to-government trade	B	Foreign Trade types.
15	The main objective of any business enterprise is to: A) Employ family members B) Maximize profit C) Please everybody D) Compete with the government	B	Business Objectives.
16	Which of these is a function of the retailer to the producer? A) Providing after-sales service B) Advertising the goods C) Giving feedback on consumer taste D) All of the above	D	Chain of Distribution links.
17	Hire Purchase is a system where: A) Goods are paid for at once B) Ownership passes only after the last installment C) Goods are stolen D) There is no contract	B	Credit facilities logic.
18	Branding helps in: A) Hiding the product B) Identifying and differentiating products C) Increasing weight D) Avoiding taxes	B	Marketing Essentials.
19	A "Supermarket" is characterized by: A) Haggling over prices B) Self-service C) Selling on credit to everyone D) Very small space	B	Modern Trade patterns.
20	Diagnostic Tool: Accuracy in Q11, Q13, and Q17 indicates the student understands the practical "Mechanics of Trade." Failure here suggests a lack of commercial awareness.	-	Pathway Aptitude.